

Student Investment Memo

On Choosing Deposit Account

Prepared For :
Young Savers and Investors



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To: Young Savers / New Bank Customers

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Subject: How Federal Funds Rates Affect Savings Accounts and What to Look for When Choosing a Bank

Executive Summary

If you keep your money in CDs under the assumption that all banks will raise interest rates simultaneously and to the same extent, you are likely missing out on a significant amount of interest earnings. Our analysis, which covers quarterly data from over 4,000 U.S. banks spanning the past decade, suggests that banks tend to vary in how they respond to interest rate changes—specifically, they appear to be 'slow to raise, quick to lower' on average.

We found a trend that banks do not all raise interest rates equally when market federal fund rates change. During periods of rising federal funds rate, deposit rates generally rise slowly. However, some banks respond faster to Federal Reserve rate hikes. During the cutting cycle, deposit rates fall quickly. This suggests young savers may want to compare banks rather than assuming that, on average, banks offer similar rates and consumers may benefit from comparing banks carefully instead of leaving money in a low-paying account.

Our analysis of quarterly data from over 4,000 U.S. banks reveals three patterns that matter for your wallet. First, large banks raise deposit rates roughly 1.8 times as fast as small banks (beta of 0.25 vs. 0.13, Chow Test $p < 0.001$). Second, the interest rate cycle matters: during the aggressive hikes of 2022–2025, banks passed through roughly 0.13% for every 1% the Fed raised, nearly triple the 0.04% seen during the mild 2016–2021 cycle. Third, banks are asymmetric—when the Fed cuts, deposit rates fall quickly, so savers should lock in fixed-term deposits at the first sign of a cut. For young depositors, this means "choosing a bank" is an ongoing decision, not a one-time task: during hikes, prioritize large, loan-focused banks; when cuts loom, lock in a CD immediately.

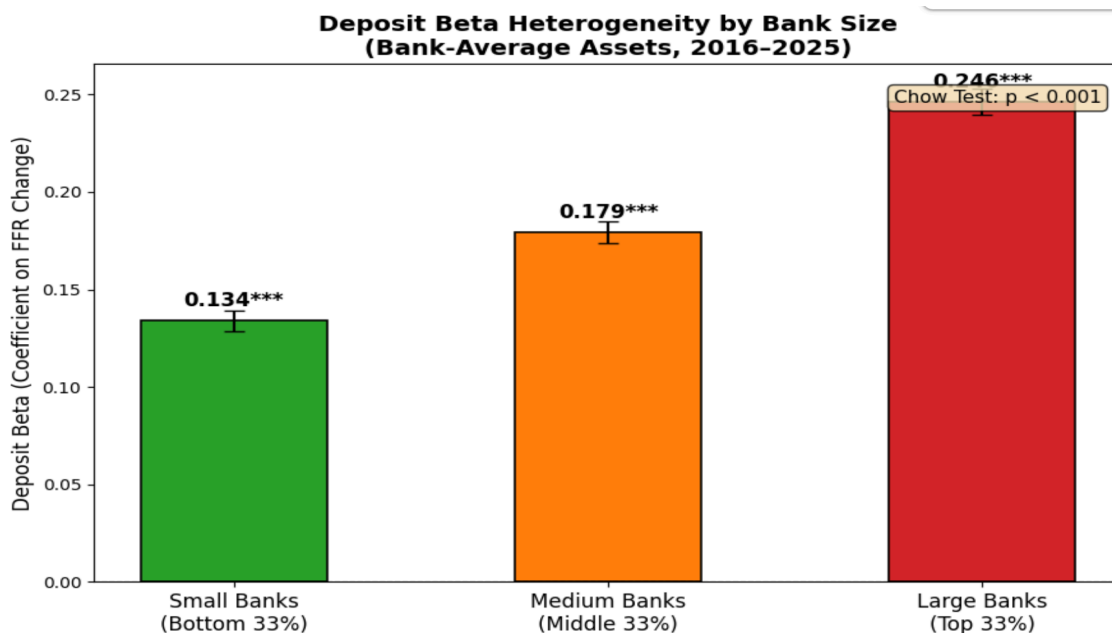
More importantly, different banks possess vastly different "personalities": banks with a heavy focus on lending are typically more inclined to raise deposit rates to attract customers, whereas those with ample cash reserves—or those that generate revenue primarily through fees—often choose to sit tight. For young depositors, this means you cannot simply "open an account and forget about it"; instead, during the cutting cycle, deposit rates tend to fall relatively quickly.

What Is a Deposit Beta?

Deposit Beta measures precisely the "pass-through ratio." Imagine the Federal Funds Rate as the "wholesale price" of funds in the market. When the Federal Reserve raises interest rates, it is akin to this wholesale price going up; if banks pass these costs on to depositors, they will increase the Annual Percentage Yield (APY) on your savings accounts or CDs.

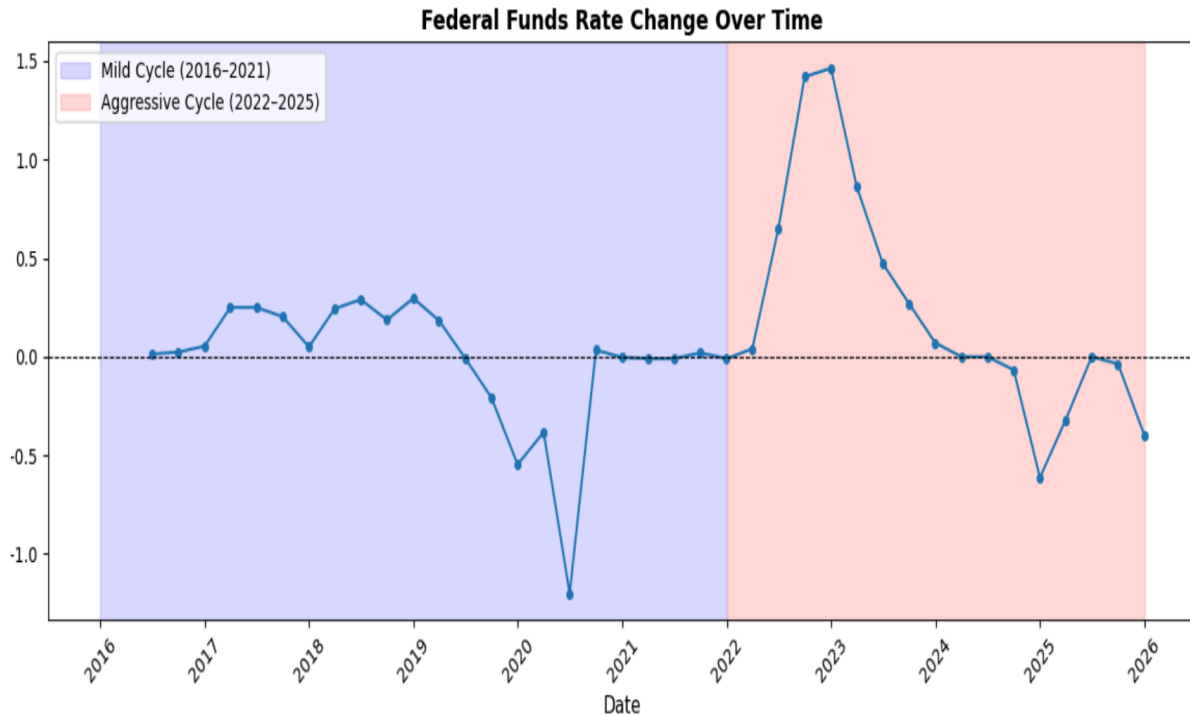
A deposit beta measures how much a bank changes the interest rate it pays on savings accounts or CDs when the Federal Reserve changes interest rates. For example, if a bank has a deposit beta of 0.30, a 1 percentage point increase in the federal funds rate would increase the bank's savings rate by about 0.30 percentage points.

Based on our data analysis, we found the trend that the ratio is not fixed. If we look at the entire 2016–2025 period, the average Beta is approximately 0.18; however, when examined separately, the Beta during the mild cycle of 2016–2021 was only 0.04, whereas during the aggressive cycle of 2022–2025, it jumped to 0.13—nearly a threefold increase. Moreover, bank size matters enormously: large banks (top third by assets) exhibit a beta of 0.25, while small banks (bottom third) show only 0.13—a difference confirmed by a formal statistical test (Chow Test, $p < 0.001$). This means that when you hear news that the Federal Reserve has raised interest rates, you cannot assume all banks will respond equally; whether they raise rates—and by how much—depends on both the interest rate cycle and the specific bank's size.



Main Findings from the Analysis

We compared two drastically different periods—the moderate interest rate cycle of 2016–2021 and the aggressive rate hike cycle of 2022–2025.



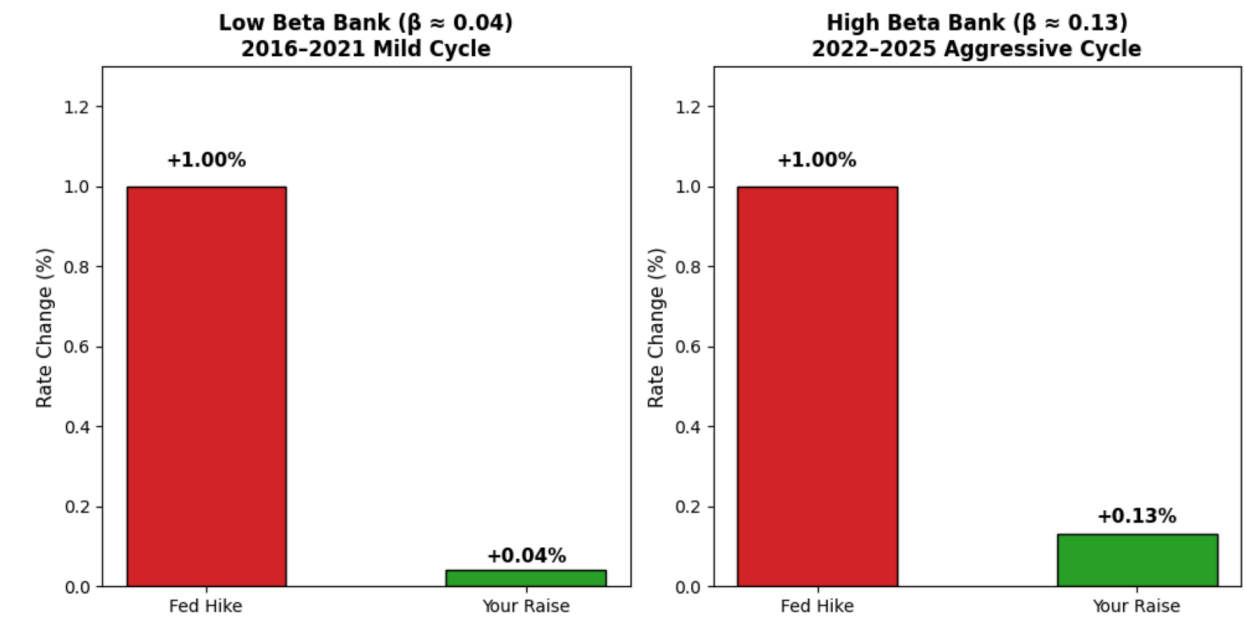
Here are three findings most relevant to your wallet:

- **When the Fed raises rates, your bank doesn't always share the wealth**

Think of it this way: when the Fed raises interest rates by 1%, that's extra money the bank is earning on its loans. How much of that extra money does it pass on to you as a saver? In the slow-and-steady rate hikes of 2017–2018, banks kept most of it for themselves—if the Fed raised rates by 1%, your savings account might only see a tiny bump of 0.04%.

But during the aggressive hikes of 2022–2025, something changed. Banks started passing along much more of that increase—roughly 0.13% for every 1% the Fed raised, nearly triple what they shared in the earlier cycle. Why? Because competition got fierce. When rates rise quickly, online banks and credit unions start offering attractive deals, and if your bank doesn't keep up, you can simply move your money elsewhere. Banks know this, so they are forced to be more generous.

What is Deposit Beta? The Pass-Through Gap



- **Banks are slow to raise your rate, but fast to cut it**

Here's the unfair part: when the Fed starts hiking rates, your bank drags its feet—like squeezing the last bit of toothpaste out of a tube. It might take months before you see any meaningful increase in your savings account or CDs. But when the Fed starts cutting rates? Your bank moves fast. In the aggressive 2022–2025 cycle, they were finally forced to share the wealth when rates rose, but they were just as quick to take it back when rates fell.

What this means for you: Don't wait around for your bank to "catch up" when rates are rising—shop around early. And when you hear rumblings that the Fed might cut rates, that's your signal to lock in a CD before your savings rate gets slashed.

- **These differences don't just show up across time periods—they also show up across banks**

A big national bank and a small community bank can face the exact same Fed announcement and respond completely differently. In the next section, we explain why your bank's size and business model matter just as much as the Fed's policy.

Not All Banks Are Created Equal: Size and Business Model Matter

Even within the same interest rate cycle, banks behave very differently. After controlling for each bank's inherent "personality" (using bank fixed effects), we find three clear patterns:

- **Bigger banks are more sensitive**

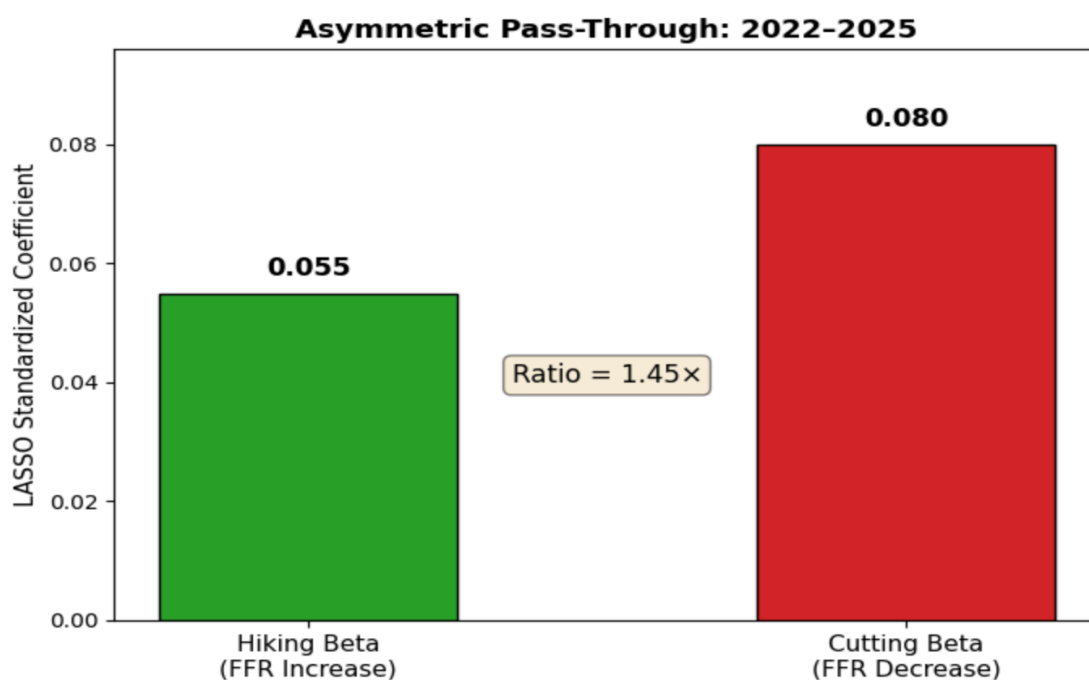
A bank with larger total assets raises its deposit rate faster when the Fed hikes. Our grouped analysis shows that during 2016–2025, large banks (top third by total assets) had a deposit beta of 0.25, compared to 0.13 for small banks (bottom third). A formal Chow Test confirms this gap is not random noise, which is really reliable.

- **Loan-heavy banks compete harder**

Banks that earn most of their revenue from lending (mortgages, business loans) are quicker to raise deposit rates. They need your deposits to keep funding those loans, so they can't afford to drag their feet.

- **Fee-based banks are sluggish**

Banks that make money from account fees, trading, or wealth management—rather than lending—are slower to raise your savings rate. They don't urgently need your deposits, so they keep rates low for longer.



Advice for Choosing a Bank Account

Young savers today have several options for parking their cash: traditional savings accounts, checking accounts, money market accounts, and certificates of deposit (CDs), each involving a distinct trade-off between yield and liquidity. While savings and money market accounts offer flexibility and easy access, their rates fluctuate with the market and can drop quickly when the Fed cuts rates. CDs, by contrast, lock in a fixed rate for the entire term—making them the preferred choice for new savers who can set aside funds for a defined period without needing immediate access. Understanding this liquidity–yield trade-off is essential before selecting a specific bank or product.

Our analysis of the deposit-rate–FFR relationship reveals an important asymmetry: banks tend to lower deposit rates faster than they raise them. Once the Fed signals a rate cut, ordinary savings account rates are likely to decline relatively quickly, whereas the rates on existing CDs remain fixed. Consequently, during a rate-cut cycle (or when markets begin pricing in imminent cuts), savers should consider locking in a CD sooner rather than later. Opening a fixed-term CD before the first cut takes effect can help preserve the higher prevailing yield for months or years, even as floating savings rates fall. For those who prioritize flexibility, a laddered CD strategy—splitting deposits across multiple maturities—can balance the need for locked-in returns with periodic access to cash."

"Prioritize large banks with heavy lending businesses." Our analysis shows these two traits—size and loan intensity—are the strongest predictors of rapid deposit rate pass-through. Large banks (top third by assets) raise rates roughly twice as fast as small banks when the Fed hikes, likely because they rely more on wholesale funding and face immediate pressure to retain deposits.

What Young Savers Should Watch

Besides comparing interest rates themselves, you can use the following clues to determine if a bank is "worth following":

- **Federal Reserve interest rate calendar.**

The Federal Reserve holds approximately eight interest rate meetings each year. The periods around these meetings are peak times for banks to adjust deposit rates; it's advisable to proactively check your APY during these periods.

- **Your bank's responsiveness.**

If the Fed raises rates consecutively, but your bank only makes a slight adjustment after two quarters, it indicates a low beta—meaning it might be the first to lower rates when they do in the future. That's a bad deal for your money.

- **Promotional rate traps.**

Some banks attract account openings with extremely high "promotional rates for the first few months," which then drop sharply. Pay attention to the ongoing APY, and don't be misled by introductory offers.

- **Fees and minimum balances.**

An account with a high interest rate but also high monthly fees may not be as worthwhile as an account with a moderate interest rate and zero fees. Always calculate the "net return."

- **FDIC insurance.**

Ensure your deposits are FDIC protected at the bank level (up to \$250,000 per account). Online and brick-and-mortar banks are equal in this respect, but it's always a good idea to check for insurance logos.

- **Trade-off between convenience and returns.**

Large banks' mobile apps and ATM networks are indeed convenient, but if they consistently offer you interest rates 0.5% or even 1% lower than the market rate, whether this "convenience tax" is worthwhile depends on your deposit amount and usage habits.

A Few Honest Caveats

Before you move your money, here are three things to keep in mind:

- **What worked in the past may not work tomorrow.**

Our data covers 2016–2025, which includes both the sleepy low-rate years and the wild 2022–2025 hiking cycle. That's a solid slice of history, but it's not the whole story. If the Fed ever has to fight 1970s-style double-digit inflation, banks might behave very differently.

- **"Big banks move faster" is a pattern, not a law.**

We found that large banks tend to raise deposit rates faster than small banks, and we tested this multiple ways to make sure it wasn't a fluke. But "tend to" is the key word—no bank is guaranteed to be the fastest every single time.

- **One dataset means one perspective.**

We looked at thousands of banks, but we only had one type of data. We didn't have information on credit unions, online-only neobanks, or banks outside the U.S. So if you're banking with a credit union or a fintech app, our "big bank" advice may not apply perfectly.

Current Market Update

As of June 2026, the Fed has paused its easing cycle at 3.50%-3.75%, and the June dot plot suggests a hawkish pivot with 9 of 18 officials projecting rate hikes by year-end. This changes the tactical advice for depositors. We will recommend that rather than rushing to lock in CDs before cuts, savers may benefit from keeping funds in liquid high-yield savings accounts or short-term CDs (3-6 months) to retain optionality if the Fed resumes tightening.

Conclusion

Banks don't all behave the same way. During the aggressive rate cycle of 2022–2025, our data points to three clear patterns: banks passed along much more of the Fed's rate hikes to savers than in earlier cycles; they cut deposit rates faster than they raised them; and banks with heavy lending businesses were usually the quickest to compete for deposits.

For young depositors, this means treating "choosing a bank" as an ongoing decision, not a one-time task. When rates are rising, look for banks that rely on lending and aren't sitting on piles of cash—those are the ones most likely to raise your APY. When rates are falling, consider locking in a CD to protect yourself from the rapid drop. Most importantly, keep an eye on the Fed's policy direction and make it a habit to check your savings rate every few months. Last but not the least, pay close attention to the Federal Reserve's policy direction and develop the habit of reviewing your savings interest rate quarterly.

Optional Disclaimer

This article is for educational purposes only. This memo is based on academic research and aims to help young depositors understand the interest rate transmission mechanism. It does not constitute investment or financial advice tailored to your personal financial situation. For large sums of money planning, please consult a licensed financial advisor.